on the basis of the tonnage mined. For most other items the number of years must be arbitrarily taken, five years being a customary figure.

In order to relieve the reported earnings of these annual deductions it has become common practice to write off such expense applicable to future years by a single charge against surplus. In theory this practice is improper, because it results in the understatement of operating expenses for a succeeding period of years and hence in the exaggeration of the net income. If, to take a simple example, the president's salary were paid for ten years in advance and the entire outlay charged against surplus as a "special expense," it is clear that the profits of the ensuing period would thereby be overstated.[4] There is the danger also that expenses of a character frequently repeated, *e.g.*, advertising campaigns, or cost of developing new automobile models, might be omitted from the income account by designating them as deferred charges and then writing them off against surplus.[5]

Ordinarily the amounts involved in such accounting transactions are not large enough to warrant the analyst's making an issue of them. Security analysis is a severely practical activity, and it must not linger over matters that are not likely to affect the ultimate judgment. At times however, these items may assume appreciable importance.

Examples: The Kraft Cheese Company for example, during some years prior to 1927 carried a substantial part of its advertising outlays as a deferred charge to be absorbed in the operations of subsequent years. In 1926 it spent about $1,000,000 for advertising and charged only one-half of this amount against current income. But in the same year the balance of this expenditure was deducted from surplus, and furthermore an additional $480,000 was similarly written off against surplus to cancel the balance carried forward from prior years as a deferred charge. By this means the company was able to report to its stockholders the sum of $1,071,000 as earned for 1926. But when in the following year it applied to list additional shares, it found it necessary to adopt a less questionable

[4] See Appendix Note 50 for details of accounting methods followed by Interstate Department Stores in 1934–1936, which resembled somewhat the hypothetical case given above.

[5] A similar objection lies against the practice of charging against surplus the loss incurred in closing chain-store units. *Example:* The charge of $326,000 made by F. G. Shattuck Company for this purpose in 1935. This would seem to be a recurrent expense of chain-store enterprises, which frequently add and close down units.